



National Policy Hackathon

Indian Institute of Management (IIM), Calcutta & Indian Institute of Foreign Trade (IIFT), Kolkata

**Fiscal Policy and Multi-Level Governance for Inclusive
Development**

Team Equi-Nomics



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Overview of India's Fiscal Transfer Architecture

Structural Imbalances and Systemic Inefficiencies

Key Facts (The Vertical Imbalance)



41%
Tax Devolution
(15th FC)

Revenue Centralised
Union controls majority tax pool



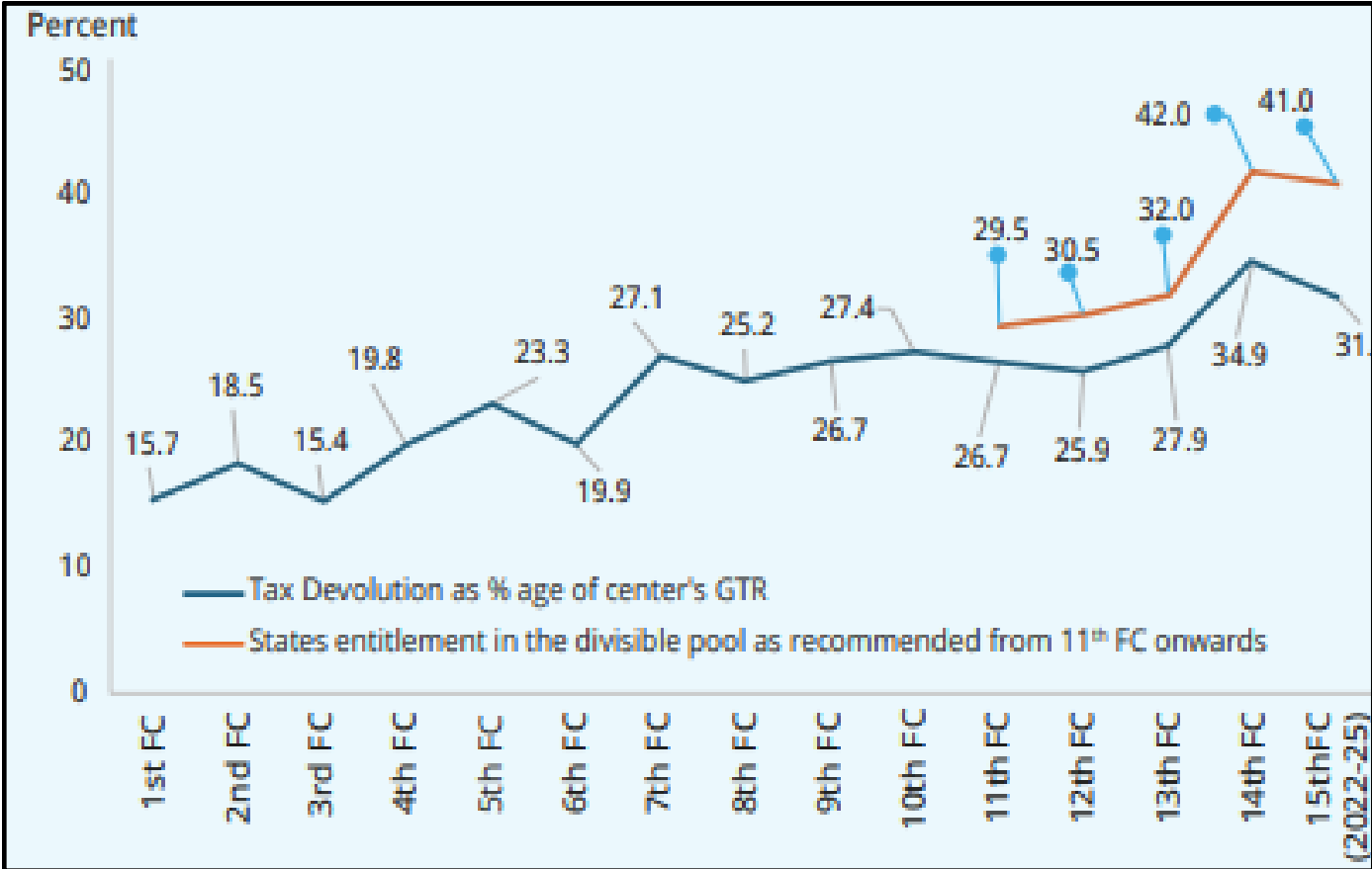
~80%
Fiscal Gap
Bridged

No Outcome Linkage
Grants not tied to measurable performance



~36%
State Revenue
via Transfers

Transfer Dependence
Limited Own Source Revenue effort



Source: Intergovernmental Transfers and Fiscal Equalisation

Systemic Inefficiencies (The Horizontal Imbalance)

OSR
Heterogeneity

OSR finances only 46–58% of expenditure; large inter-state disparities persist.

Substitution
Effect

Formula-based transfers incentivize dependence and weaken states' OSR effort.

Accountability
Gap

Grants are not tied to measurable outcomes; no standardised metrics for EYS or NCD prevention.

Criterion	Eleventh 2000-05	Twelfth (2005-10)	Thirteenth (2010-15)	Fourteenth (2015-20)	Fifteenth (2020-2021)	Fifteenth (2021-26)
Population (1971)	10	25	25	27.5		
Population (2011)					15	15
Income Distance	62.5	50		50	45	45
Area adjusted	7.5	10	10	15	15	15
Infrastructure	7.5					
Tax effort	5	7.5				
Fiscal Discipline	7.5	7.5				
Fiscal Capacity			17.5			
Distance			47.5			
Forest Cover				7.5		
Demographic Performance					12.5	12.5
Forest and Ecology					10	10
Tax and Fiscal Effort					2.5	2.5

Source: Finance Commission Reports

Problem
Statement

Gap
Analysis

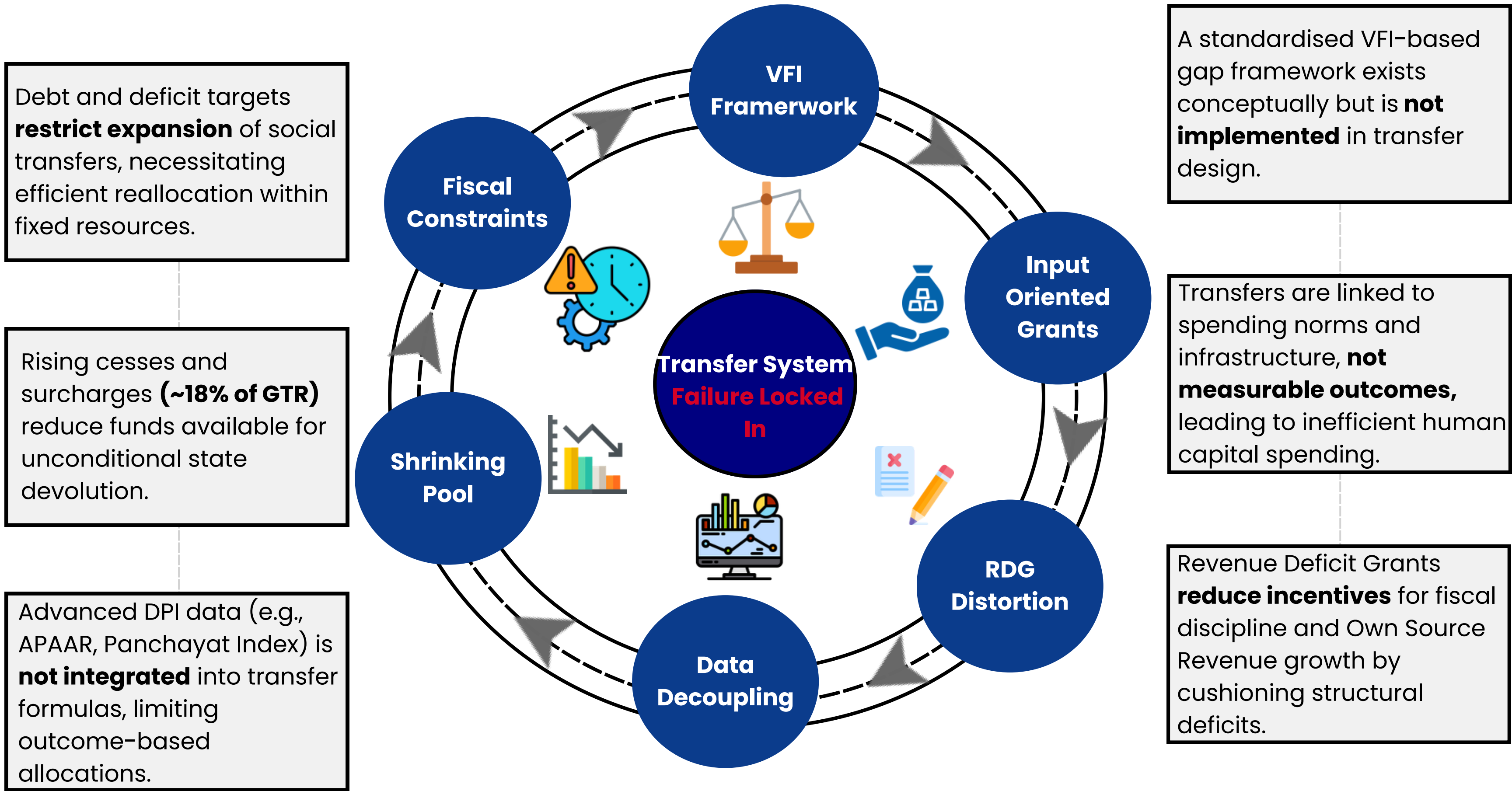
Proposed
Reform

Execution
Framework

Impact
Assessment

Systemic Imbalances in Intergovernmental Transfers

Assessing structural gaps in equity, efficiency, and accountability



Problem Statement	Gap Analysis	Proposed Reform	Execution Framework	Impact Assessment
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The Outcome-Linked Social Sector Transfer Framework

Transitioning from input-centric grants to performance-linked devolution

The SDI Engine

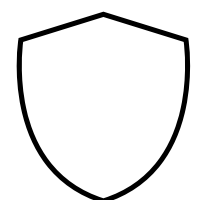
Core Design Principles



Equity
Higher support for more deprived states.



Efficiency
Funds tied to measurable outcomes.



Fiscal Responsibility
Discourages dependency and weak tax effort.

Normalisation Formula:

$$I_{i,s} = \frac{[X_{i,s} - \min(X_i)]}{[\max(X_i) - \min(X_i)]}$$

Compresses metrics (dropout %) into a 0–1 score.

For each state s ,

$$SDI_s = \sum_{i=1}^n W_i * I_{i,s}$$

(Weights: 0.4 Education | 0.4 Health | 0.2 Living Standards)

Core Allocation Structure

$$G_s = B_s + [P_s * (1 + \beta * SDI_s)] * \alpha_s$$

Where:

G_s = Total social sector grant

B_s = Base equalisation floor

P_s = Population

SDI_s = Social Deprivation Index

β = Deprivation intensity parameter; adjustable scaling factor to determine redistribution levels (0.5 to 1.5)

α_s = Performance multiplier; incentive lever that scales the final grant based on outcome growth

Working of the Formula

Base grant (B_s): Ensures minimum allocation for stability

Deprivation adjustment ($P_s \times (1 + \beta \times SDI_s)$): More funds to states with bigger health/education gaps

Performance multiplier (α_s): Rewards measurable improvement

The Normative Shift

1. Performance Engine

Equation: $\alpha_s = 1 + \gamma * (\Delta O_s)$

Where:

ΔO_s = Improvement in measurable outcomes

γ = Sensitivity parameter

Incentive Bound: $0.85 \leq \alpha_s \leq 1.15$
Ensures rewards for merit while maintaining baseline fiscal stability.

2. The Normative Shift:

Equation: $FG_s = NS_s - RC_s$

Where:

FG_s = Fiscal gap

NS_s = Normative minimum social sector cost

RC_s = Revenue capacity

Transfers funding normative service standards—not reported deficits—to incentivize fiscal effort and eliminate the substitution effect.

Problem Statement

Gap Analysis

Proposed Reform

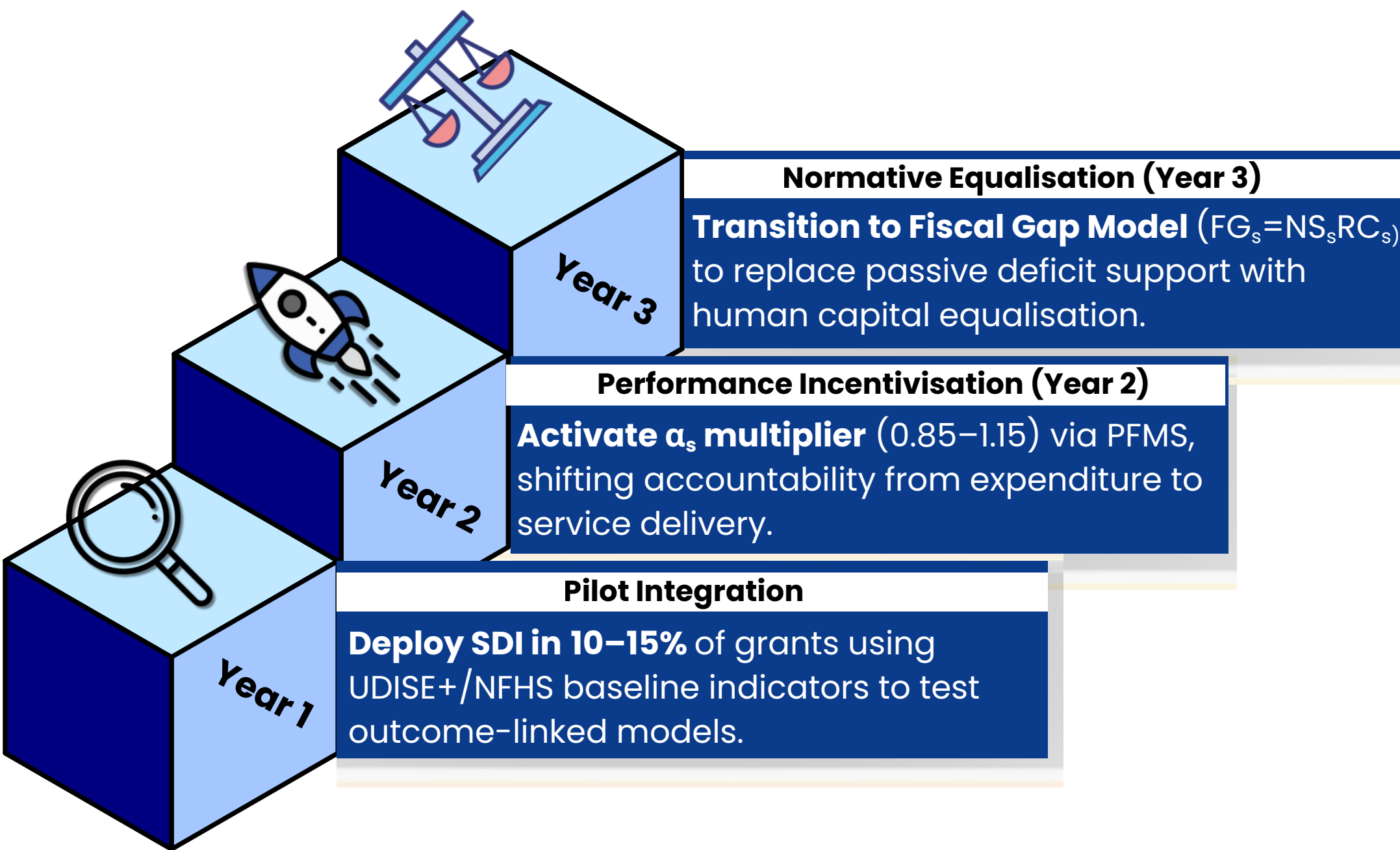
Execution Framework

Impact Assessment

Execution & Viability Framework

Ensuring Seamless Operationalization and Fiscal Stability

Implementation Architecture



Governance & Oversight: Managed by the Ministry of Finance with independent CAG audits. Leveraging existing digital infrastructure (PFMS) for a fiscally neutral and operationally lean transition—no additional bureaucracy required.

Fiscal Feasibility



Budget Neutrality: Uses existing transfers; no extra outlay.



Controlled Redistribution: SDIs target deprivation; capped multipliers (0.85–1.15) limit shocks.



Structural Efficiency: Shifts from deficit-filling to Normative Service Gaps ($NS_s - RC_s$), boosting tax incentives.

Operational Feasibility



Institutional Leverage: Uses existing datasets (UDISE+, NFHS) and PFMS for transparent tracking.



Mandate Alignment: Needs allocation tweaks only—no constitutional changes.



Political Pragmatism: 3-year phased rollout builds capacity and reduces resistance.

Problem Statement

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Impact Assessment

Systemic Imbalances in Intergovernmental Transfers

Assessing structural gaps in equity, efficiency, and accountability

INCLUSION & DEVELOPMENT IMPACT



Linking transfers to dropout reduction and learning outcomes shifts focus to human capital and reduces inter-state gaps.



Outcome-based funding for IMR, preventive care, and NCD screening boosts efficiency and lowers long-term burdens.



SDI-linked allocations tied to service delivery improve Panchayat accountability and access in high-poverty areas.



Integrating urban service gaps into SDI targets slums, migrants, and capacity constraints in smaller cities.



MONITORING AND OUTCOME METRICS

Fiscal Federalism

- 1.VFI
- 2.State Own Tax Revenue to GSDP Ratio
- 3.Divisible Pool % of Central Tax Revenue
- 4.Coefficient of Variation in Per Capita Fiscal Capacity

Sectoral Outcomes

Education

- 1.Secondary dropout rate
- 2.Expected Years of Schooling, learning outcomes
- 3.Data: UDISE+, APAAR IDs, NAS/state assessments.

Health

- 1.IMR
- 2.Preventive NCD screening
- 3.Immunisation coverage
- 4.Data: NFHS, HMIS, state dashboards.

Rural

- 1.Panchayat Advancement Index
- 2.School retention
- 3.Primary healthcare

Urban

- 1.Slum service coverage
- 2.Municipal health/school access.

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Impact Assessment

THANK YOU

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